

Public Transport in Bengaluru

A Policy Analysis of Market Structure, Failures, and Interventions
Across Six Subsectors of Urban Mobility

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Political Economy of the Market

01

A market governed as six subsectors, not one system

Buses, metro, autos, cabs, bike-taxis, and suburban rail – each answer to a different regulator, with no coordinating authority. Coordination failures, uncompensated transit benefits and structural undersupply are left to compound, rather than cancel out.

02

Every reform stops when power begins

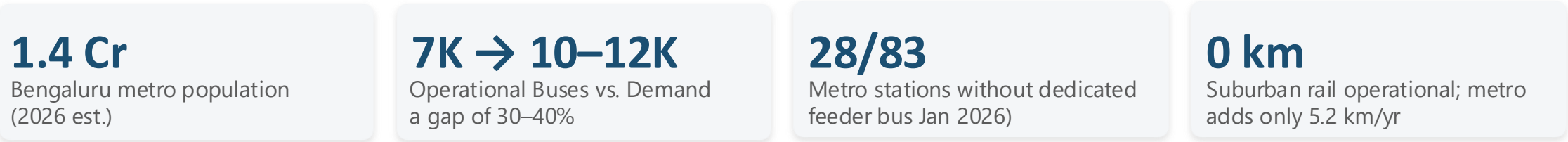
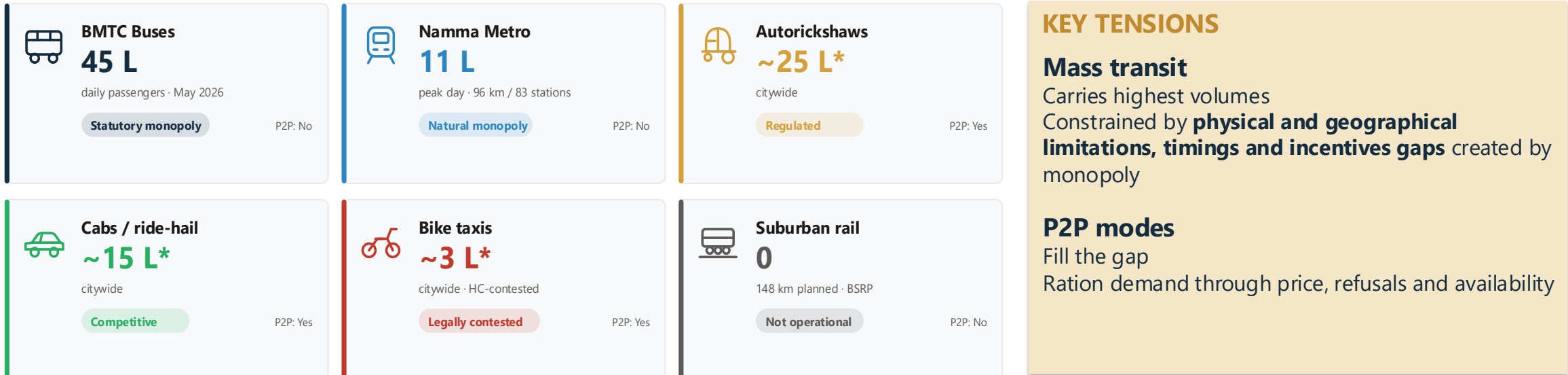
Fare-increase aversion, permit caps that protect incumbents, and union opposition to competition have confined nine years of intervention to price ceilings and quantity caps – never the structural reforms (open permits, competitive tendering, integrated planning) that touch entrenched interests.

03

Restricted supply does not remove demand, it relocates it

When one subsector is squeezed – an auto permit freeze, a bike-taxi crackdown – commuters don't disappear; they cascade to autos, platforms and private vehicles. Isolated fixes routinely produce the opposite of their stated goal.

Six subsectors, no unified market



* Informal-mode figures are estimates (no official data). Metro = highest recorded day (10 Aug 2026); BTMC = May 2026.

Three market structures - different incentives

Monopoly / State-owned

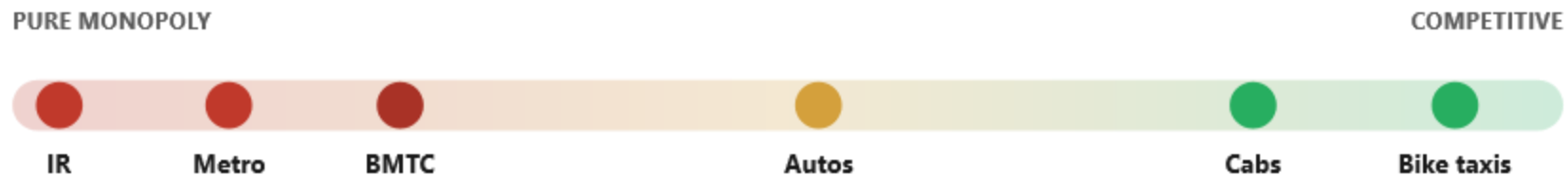
- **BMTC** — sole city bus provider; 6,275 schedules/day; loss-making; fares set by government
- **BMRCCL** — sole metro operator; ₹10–₹90 fare band; 5% fare hike shelved under pressure
- **Indian Railways** — marginal intracity role; BSRP (148 km) not yet operational

Regulated / Competitive

- **Autos** — 155K permit cap; ₹36 base fare; "one person, one permit" bars fleet operators
- **Cabs** — low entry barriers; fare floor + surge cap; platform competition for drivers
- **Bike taxis** — legally contested

Entry barriers

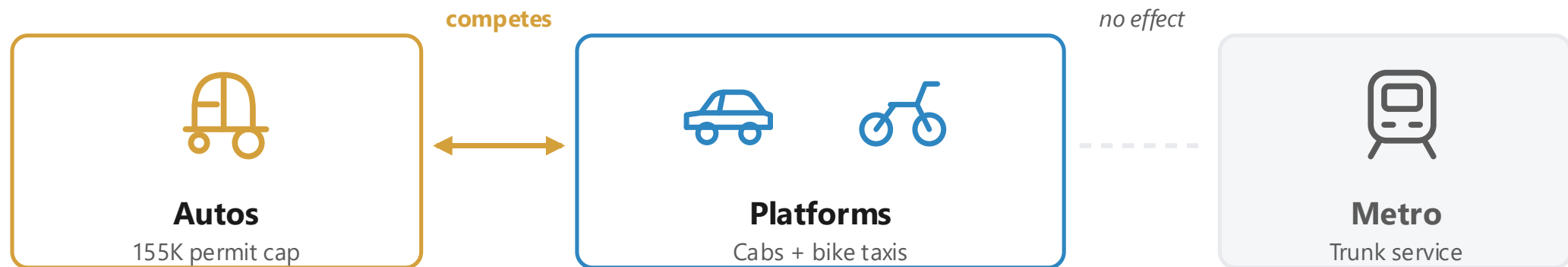
- Private bus competition legally prohibited
- Rail/Metro capital cost: ₹20,000+ Cr
- Labour-union/Incumbent opposition blocks new entrants



Competition spectrum of Bengaluru transit subsectors

Platforms disrupt market structure, and invite political pressure

Platforms add supply against autos — metro is unaffected



Metro stays a high-capacity trunk service; platform modes mainly add first-/last-mile supply.

333

bike taxis seized in two days during Aug 2026 enforcement drive.

₹36

regulated auto fare for the first 2 km

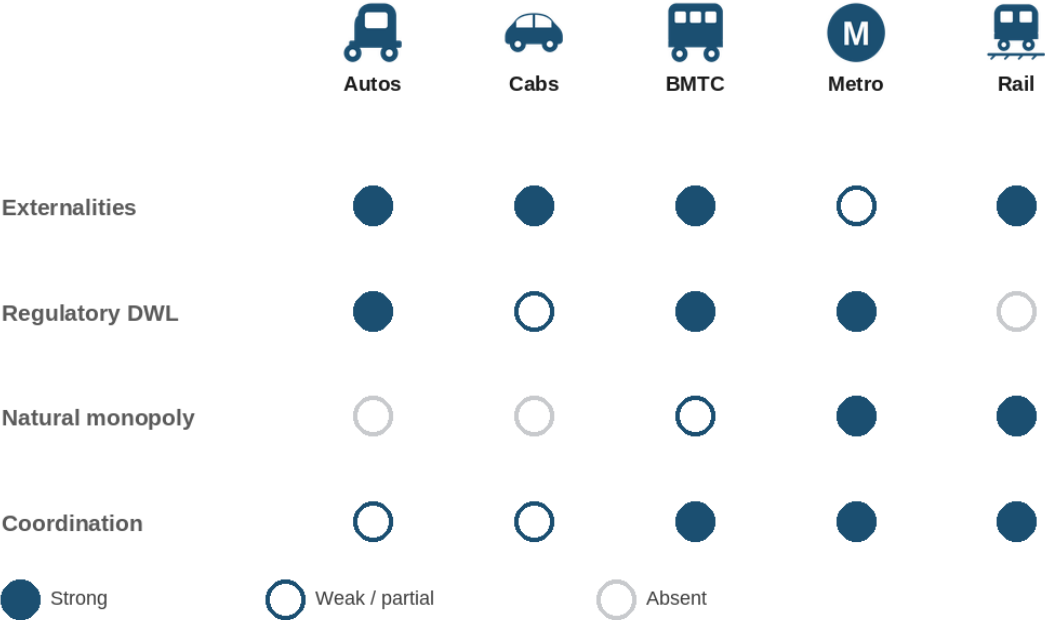
~₹70

app-based minimum auto fares reported after bike-taxi fell

Disruption invites friction: The Karnataka HC directed the State to issue contract-carriage permits (Jan 2026); the State challenged this before the Supreme Court and resumed seizures (Aug 2026).

Four market failures all active simultaneously, all amplifying each other

Failure Type	Subsector	Mechanism
Coordination Failure	Metro, BMTC, Rail, P2P	Poor integration on routes, frequencies, transfers and feeder services
Positive Externalities	BMTC, BMRCL	Reduces road congestion But BMTC and BMRCL cannot monetise that gain
Regulatory Failure	Autos, Buses, Metro	Permit caps + fare ceilings → supply below demand → structural DWL
Natural Monopoly	Metro, Rail, Roads	High fixed costs justify single provider



Compounding & Cascading:

Lack of feeder connectivity demand cascades to autos and ultimately private vehicles, amplifying congestion.

Two failures in tandem: uncompensated transit benefits + government-created supply shortage

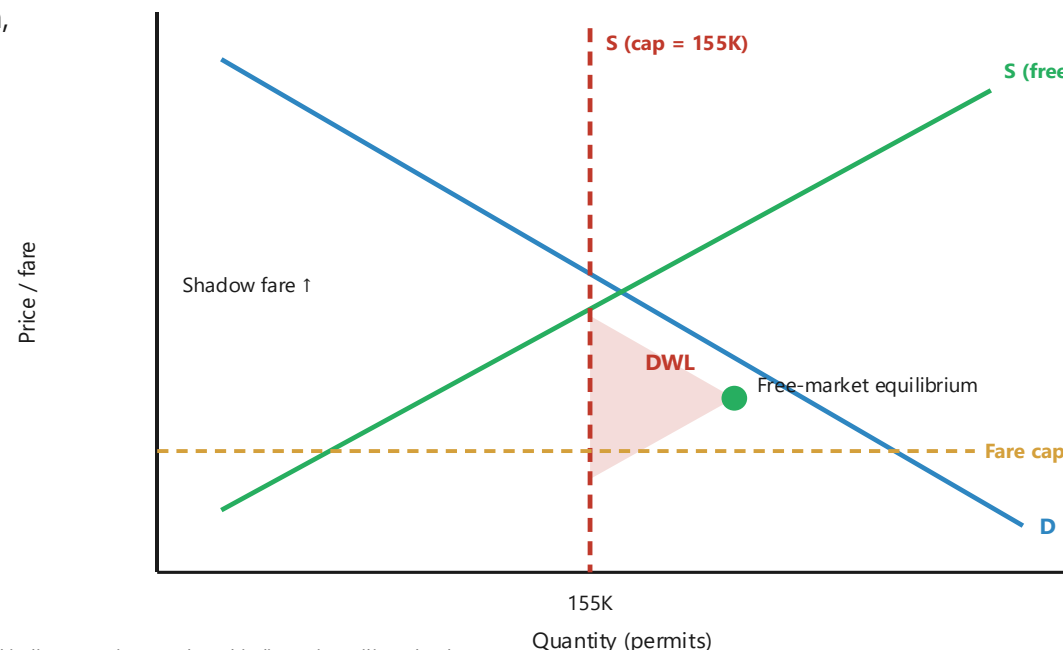
Positive Externalities — Uncompensated

- **The benefit is real:** every bus and metro trip removes a car — less congestion, lower PM2.5, fewer road-hours lost for everyone else on the road
- **The losses are its shadow:** BMTC and BMRCL deficits are the accounting counterpart of a benefit they cannot bill for — not evidence of operational failure
- **So, it is under-supplied:** with no mechanism to capture the social benefit, transit is provisioned below the optimum; society then pays in congestion and PM2.5 what it declined to pay in subsidy

Regulatory / Government Failure

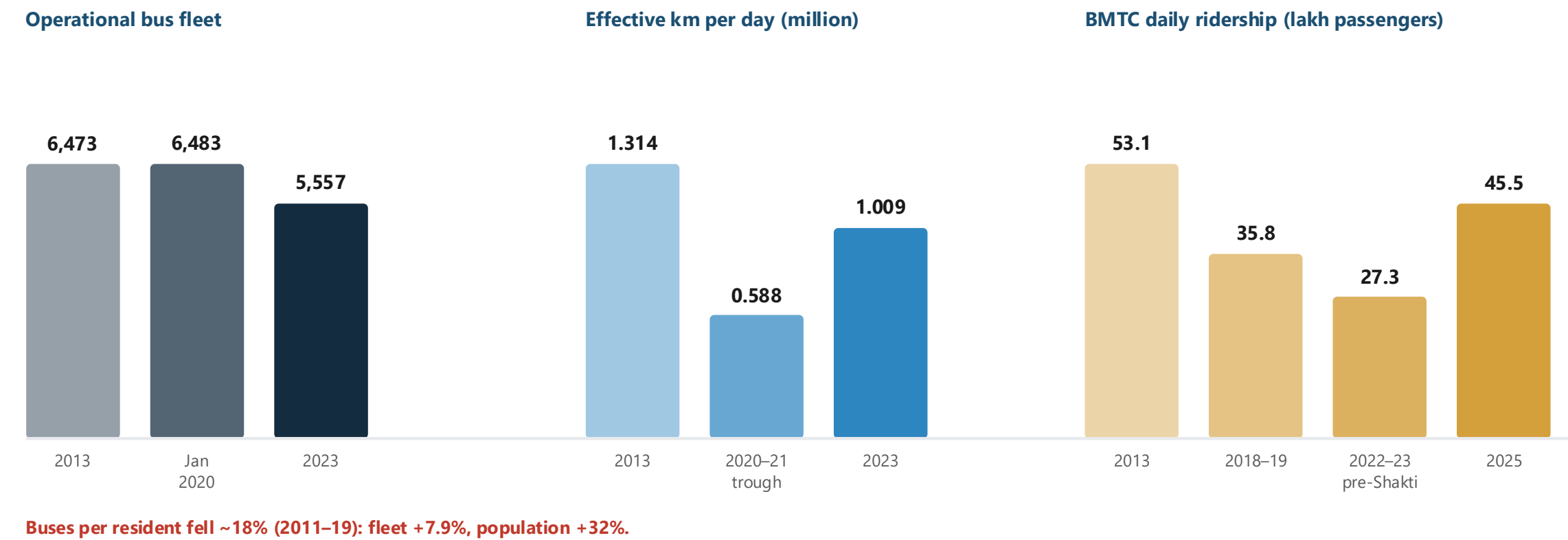
- **Auto cap (155K)** = vertical supply curve — quantity fixed regardless of demand
- **Fare ceilings below market-clearing** → excess demand shows as overcrowding, not new supply
- **Night service gap:** monopolies stop; competitive modes charge unregulated night rates

Deadweight loss from the auto permit cap



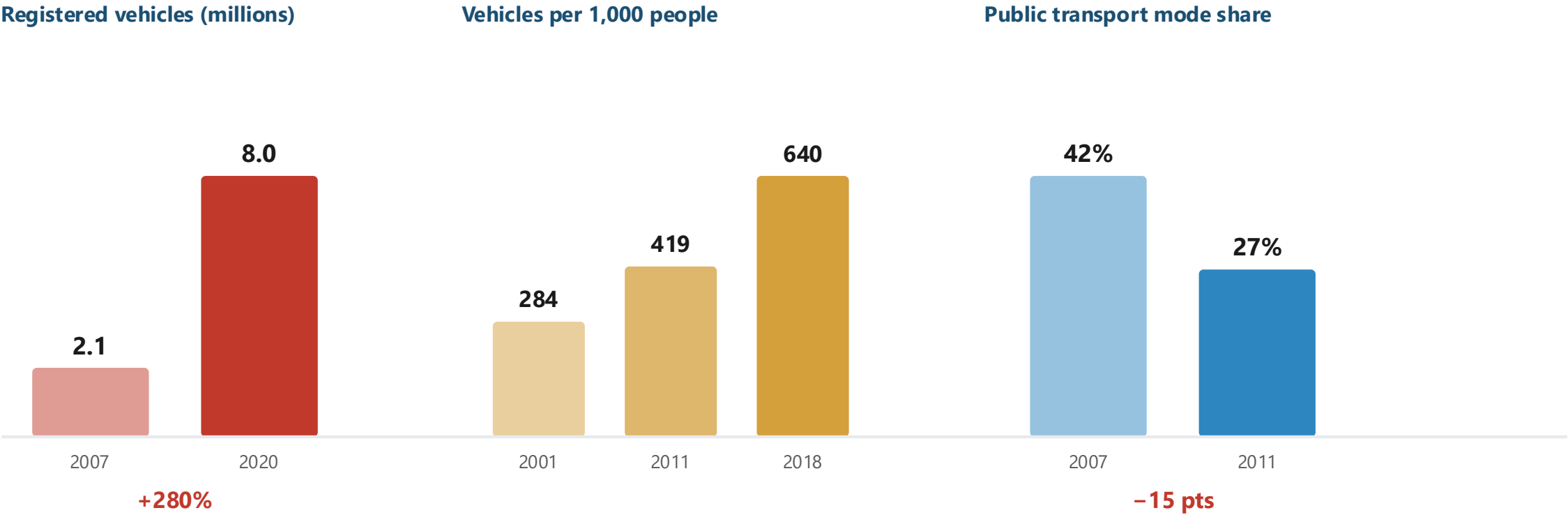
A binding quantity cap plus a binding price ceiling: the shortage clears through refusals and shadow pricing, not through supply.

Bus supply and bus use have both been falling for a decade



Source: Asian Transport Observatory (Jan 2025), from Open City / CMP and B.PAC (2019); 2022-23 and 2025 ridership from BMTC via Deccan Herald.

Demand did not disappear — it moved to private vehicles



Bengaluru now records the highest congestion level in Asia-Pacific at 63% (TomTom, 2023).

Restricted mass-transit supply did not remove trips — it relocated them onto two-wheelers and cars, where the social cost is highest.

Source: Asian Transport Observatory, "Bengaluru Urban Transport — State of Play" (Jan 2025). Underlying data: B.PAC (2019); Comprehensive Mobility Plan; TomTom Traffic Index (2023).

People avoid public transport for frequency and access — not fares

Stated reasons for not using public transport (B.PAC survey, 2019)



Affordability is the least-cited barrier — 2%. Nine years of intervention were spent on fare ceilings and fare freezes.

The binding constraints are frequency, access and last-mile connectivity: supply-side problems that price controls cannot touch.

70%

of potential metro users avoid the metro because access is inconvenient

7.3%

of land allocated to transport, against a 15–20% norm

8 km/h

average public-transport speed, against 11 km/h for private vehicles

Source: Asian Transport Observatory, “Bengaluru Urban Transport — State of Play” (Jan 2025). Underlying data: B.PAC survey (2019); WRI India (Kanuri et al., 2019); JICA ITS Master Plan.

Every instrument is a price or quantity control

4 of 6 direct interventions produced outcomes opposite to, or short of, their stated goal — not because the goals were wrong, but because each instrument ignored system-wide demand displacement.

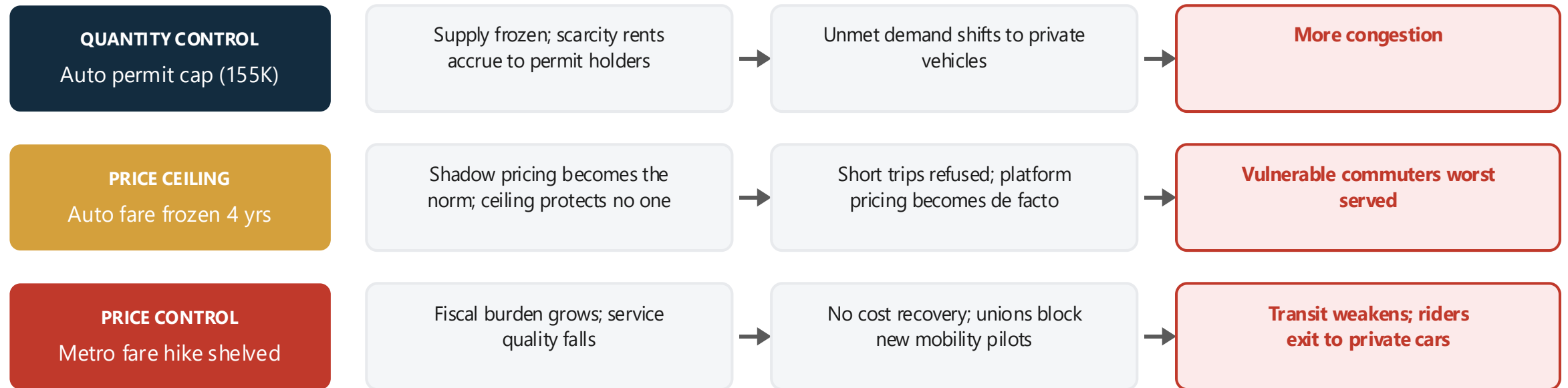
Intervention	Stated objective	Outcome	Verdict
PRICE CONTROLS			
Auto fare ceiling (₹36 + ₹18/km)	Consumer protection	Frozen four years while CNG doubled; <12% meter compliance; shadow pricing became the norm	Failed
Cab surge cap	Prevent peak exploitation	Caps the peak price, not the shortage — supply still rations by refusal	Failed
Metro fare freeze (5% shelved)	Political affordability	Blocks cost recovery; BMRCL stays dependent on state equity; no signal to expand	Counter-productive
QUANTITY CONTROLS			
Auto permit cap (155K, 2018)	Reduce congestion	Supply frozen while demand grew; private vehicles filled the gap; congestion unchanged	Failed
BMTC statutory monopoly	Universal access	Private competition prohibited; large-bus mandate mismatched to narrow lanes	Under-delivered
DEMAND SUBSIDY			
Shakti Scheme (free bus travel for women, 2023)	Women's mobility — a social-welfare goal, not a congestion instrument	Ridership up and BMTC load factor improved; fiscal burden on the state. Judged against its own objective, it works	Partial success

...the rest is government failing to act at all

	Outcome	Verdict
GOVERNMENT FAILURES — absence of action, not intervention		
No fare revision mechanism	Regulation without indexation degenerates into a freeze; fares track neither CNG, CPI nor capital cost	Structural
NMT / footpath provision	BBMP jurisdiction, chronically underfunded; benefits accrue to BMTC, which does not pay for it	Under-delivered
No coordinating authority	Six subsectors, six regulators; a common transport authority is proposed but not established	Structural

Regulations created the informal market they were meant to prevent

Each control displaces demand — and recreates the outcome it was meant to prevent



Fare regulation has two facets — and only one of them is the problem. For BMTC and the metro, regulated fares are correct: both are statutory or natural monopolies, and an unregulated monopolist would price above marginal cost. The failure is that regulation was never paired with an indexation rule, so it degenerates into a freeze — fares track neither CNG, CPI nor capital cost, cost recovery erodes, and investment is deferred.

Four reforms — stuck on incentive mismatch among stakeholders

#	Reform	What it fixes	Key Stakeholder(s)
1	Open & transferable auto permits	Move towards needs-based, transferable permitting; reduces artificial scarcity and allows supply to respond better to demand.	Transport Department; auto driver/permit holders
2	Indexed fare formula	Auto + bus + metro fares tied to CNG, CPI, capital costs. Removes political discretion from every revision.	State Government; fare-setting authorities; BMTC/BMRCL
3	Competitive feeder tendering	Open BMTC feeder routes to private operators + e-rickshaws. Fixes narrow streets & 28 unserved metro stations.	BMTC; private operators; employee unions
4	NMT infrastructure	Footpaths + cycling lanes. Built by BBMP, benefits BMTC load — neither agency currently pays for it.	BMLTA/DULT; BBMP; BMRCL/BMTC

Core finding Bengaluru's transit crisis is a political economy problem, not a knowledge gap. A failure in one subsector pushes demand into another, forgoing the positive externalities a third was meant to generate — but cannot, because its own prices are frozen below cost recovery. Each intervention is rational in isolation; the compound effect is a market that clears informally, through shadow pricing, refusals and private-vehicle substitution, rather than through the price mechanism.

Policy implication Reform requires treating the city's transit as one interconnected market, not six independent ones. The four reforms above are technically feasible; what is absent is the alignment of incentives across agencies, operators, workers and users. State capacity and political economy constraints — union power, fare-increase aversion, institutional fragmentation — explain the implementation gap far better than any technical barrier.